



File No.: EXP202207989

RESOLUTION OF SANCTIONING PROCEDURE

From the procedure instructed by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: Mr. A.A.A. (hereinafter, the complainant) filed a complaint with the Spanish Agency for Data Protection on June 13, 2022. The complaint is directed against TELEFÓNICA MÓVILES ESPAÑA, S.A. with NIF A78923125 (hereinafter, the respondent or "TME"). The reasons on which the complaint is based are as follows:

The complainant states that on July 29, 2020, a third party requested "TME" to change the ownership of their mobile line, and the respondent proceeded to carry out this management without any verification.

In this regard, the complainant became aware of what had occurred on August 5, 2020, when this modification was made and they were left without a line, as the change involved a new SIM card.

Subsequently, they recovered the mentioned line after requesting a duplicate of the SIM card.

However, they state that prior to recovering the line, the third party used the information contained in the complainant's mobile phone to access their bank details and carry out several fraudulent withdrawals of money from their account.

On the other hand, following the incident, through the Instituto Galego de Consumo, the complainant requests a copy of the recording of the call related to the change of ownership from the respondent, and upon receiving it, they verify that in that call, a third party states that they have the consent of the owner to carry out the change of line to their name and provides the name, surname, and ID number of both (with the last two letters of the ID number being incorrect in both cases).

And, they provide the following relevant documentation:

- Complaint filed with the Civil Guard on August 6, 2020.
- Police proceedings for bank fraud directed to the Court.
- Police reports dated September 24 and 25, 2021.
- Record of the statement of the investigated party and judicial order dated April 27, 2022.
- Invoice for the duplicate SIM card.
- Response from the respondent through which they provide the recording of the call and the recording of the call related to the change of ownership, as well as a transcript of the same.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), the complaint was forwarded to the respondent for them to analyze it and inform this Agency within one month of the actions taken to comply with the requirements set forth in the data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was received on August 1, 2022, as noted in the acknowledgment of receipt in the file.

On September 22, 2022, this Agency received a written response indicating that regarding the reported facts, "TME" informs that there is a request for a change of ICC of the complainant's SIM card on August 5, 2020, at 17:45 hours through one of its Points of Sale. That same day at 20:14 hours, as explained by the complainant in their complaint, another change of ICC was requested to recover their line.

Furthermore, they state that "TME" has an adequate operation regarding the change of SIM cards, indicating that when a customer requests a duplicate SIM card in a Movistar store, the procedure to follow is the so-called "Change of SIM card," which for individual customers of the Movistar brand, as is the case here, consists of the following: In the case of individuals, the person authorized to carry out the management would be the owner of the line for which the duplicate is requested, or a legal representative or authorized person by the owner.

On the other hand, they indicate that for a greater degree of protection regarding the verification of the customer's identity, a double control is established: The identification of the customer, understood as

the demonstration or recognition of the identity of the person both verbally (when the customer states their ID number) and visually (when the customer presents their identity document, which entails a higher level of security).

THIRD: In accordance with Article 65 of the LOPDGDD, when a complaint is presented to the Spanish Agency for Data Protection (hereinafter, AEPD), it must evaluate its admissibility for processing, notifying the complainant of the decision on the admission or inadmissibility for processing within three months from the date the complaint was received by this Agency. If, after this period, such notification does not occur, it will be understood that the processing of the complaint continues in accordance with the provisions of Title VIII of the Law.

C/ Jorge Juan, 6
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28001 – Madrid
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3/20

This provision also applies to the procedures that the AEPD must process in the exercise of the powers attributed to it by other laws. In this case, taking into account the above and that the complaint was submitted to this Agency on June 13, 2022, it is communicated that your complaint has been admitted for processing on September 13, 2022, after three months have passed since it was received by the AEPD.

FOURTH: The General Subdirectorate of Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the functions assigned to the control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section Two, of the LOPDGDD, being aware of the following points:

The procedure established by Telefónica for the change of ownership of the line, in force in July 2020, was as follows:

“1. The customer calls 1004 requesting the management of their change of ownership and the commercial agent requests the identification of the new owner of the service, asking for the name and identity document details.

Additionally, the following data is requested depending on whether the mentioned person is already registered in our systems or not:

a) if they are listed as a customer in the system: authorization is requested to use the address and bank account data that are in the databases, requesting confirmation of the street number and the last 4 digits of the account.

b) new customers who are not listed in our databases: request for address, bank account number, and ownership.

2. Request for identification of the ownership data of the current owner of the line, by indicating their name, surname, and identity document.

3. In case of verification by the commercial agent of the previously provided data, confirmation is requested that the former owner consents to the transfer of the line, stating that they are aware of and accept the situation of the same and the services they have contracted.

Additionally, it is informed that we will contact the former owner to request authorization for the transfer.

4. Call to the former owner of the line, to the number that will be transferred, and after requesting them to identify themselves by their name, surname, and identification number, confirm that they agree with the mentioned transfer.

The above was recorded via telephone recording for each of the participants, being safeguarded in their systems for the appropriate purposes.

C/ Jorge Juan, 6
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28001 – Madrid
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4/20

In the case of changes of ownership to a company or from DNI to Passport, the management is referred to the in-person channel, where the customer must present the corresponding documentation. Detail of whether this procedure was applied or not for this customer's case, and if it was not applied, the reasons that made it possible.

In this case, the commercial agent only recorded the information regarding the new owner of the line, so it can be deduced that they did not follow the established procedure regarding the recording of the call from the former owner.

Annex 1 includes a copy of the recording that was registered in our systems.

3. The previous procedure was modified in October 2020.

In this regard, since the mentioned date, when a person interested in this management contacts our customer service by phone, the following operation is triggered:

1. The telephone agent registers the data of the new owner (name, identity document, and contact phone) and creates a task in our systems that refers the management of the call to the current owner to a specialized BackOffice.

2. In parallel, in the first of the calls, the request for the change of ownership by the new owner continues, in which the following is requested:

2.1 Identification of the new owner of the service, requesting the name and identity document details. Additionally, the following data is requested depending on whether the mentioned person is already registered in our systems or not: a) if they are listed as a customer in the system: authorization is requested to use the address and bank account data that are in the databases, requesting confirmation of the street number and the last 4 digits of the account. b) new customers who are not listed in our databases: request for address, bank account number, and ownership.

2.2 Request for identification of the ownership data of the current owner of the line, by indicating their name, surname, and identity document.

2.3 In case of verification by the commercial agent of the previously provided data, confirmation is requested that the former owner consents to the transfer of the line, stating that they are aware of and accept the situation of the same and the services they have contracted. Additionally, it is informed that we will contact the former owner to request authorization for the transfer.

3. Call to the former owner of the line from the specialized BackOffice, to the number that will be transferred, and after requesting them to identify themselves by their name, surname, and identification number, confirm that they agree with the mentioned transfer. This request is also recorded for the appropriate purposes. In the case of changes of ownership to a company or from DNI to Passport, the management is referred to the

C/ Jorge Juan, 6

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28001 – Madrid

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5/20

in-person channel, where the client must present the corresponding documentation.”

FIFTH: According to the report collected from the AXESOR tool, the entity TELEFÓNICA MÓVILES ESPAÑA, S.A. is a large company established in 1988, with a business volume of 4,406,624,000 euros in 2021.

SIXTH: On June 20, 2023, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the respondent, in accordance with the provisions of Articles 63 and 64 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), for the alleged infringement of Article 6.1 of the GDPR, classified under Article 83.5 of the GDPR.

SEVENTH: After notifying the aforementioned initiation agreement in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), the respondent submitted a written statement of allegations in which, in summary, as a preliminary issue, it raises criminal prejudiciality and regarding the facts that motivate the initiation of the present sanctioning procedure agreement, it states the non-existence of

an infringement.

Disagreement with the initiation agreement of the sanctioning file indicates that, although they have been able to determine that the established protocol regarding the recording of the former holder was not followed, the respondent states that this in no case implies admitting, presuming, or verifying that the duplicate of the SIM card was not carried out in accordance with the established operational procedures, pointing out the procedure established by Telefónica for changes of line ownership by customers of the O2 brand products and services in 2020 and that additional measures were adopted in October 2020, the authorization of the transfer.

Therefore, they state that Telefónica continuously works to improve the measures it has in place to prevent identity theft in the various contracting processes and subsequent management requested by the holders through the different channels. In this regard, it cannot be understood that the Agency considers that Telefónica does not exercise due diligence when adopting a customer identification operation adapted to the requirements set forth in data protection regulations, and that it links this to an unlawful processing of the personal data of the Claimant.

They add that the Agency must take into account that both Telefónica and the other operators must face third parties whose intention is to commit identity theft crimes.

The respondent states that the conduct followed by Telefónica can in no case be considered typical, given that the conduct carried out by Telefónica is not subsumable under the provision whose infringement is imputed, and that it cannot be considered unlawful either. Telefónica believes that it has acted at all times in good faith and with a founded belief excluding all culpability.

In this case, the respondent points out that, according to the operation, the client would have identified themselves with the correct data for the request for the change of ownership,

C/ Jorge Juan, 6

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28001 – Madrid

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6/20

It is established that we would be facing an invincible error, where the unlawfulness of the conduct was unknown, and therefore, the procedure should be archived, as it cannot be determined the culpability of Telefónica, and subsidiarily declare the non-existence of responsibility on the part of Telefónica for the alleged infringements attributed to it in this procedure, ordering the archiving of the present sanctioning file or, subsidiarily, in the event that the archiving of the present sanctioning file does not proceed, suspend the present procedure and require the claimant to provide information on the status of the complaint filed, as well as the content of the criminal procedure that may be underway, in order to determine if there is criminal prejudiciality, and finally, in case none of the previous claims are upheld, that the initially proposed sanction be reduced in accordance with the mitigating factors stipulated in Article 83 of the GDPR.

EIGHTH: On July 10, 2023, the instructor of the procedure agreed to carry out the following evidence: “1. The complaint filed by A.A.A. and its documentation, the documents obtained and generated during the admission phase of the complaint, and the report of prior investigative actions that are part of the procedure AI/00355/2022 are considered reproduced for evidentiary purposes. 2. Likewise, the allegations to the initiation agreement of the referenced sanctioning procedure, presented by TELEFÓNICA MÓVILES ESPAÑA, S.A., and the accompanying documentation are considered reproduced for evidentiary purposes.”

NINTH: On September 13, 2023, the proposal for resolution was made, proposing that the Director of the Spanish Agency for Data Protection sanction the respondent for an infringement of Article 6.1 of the GDPR, classified under Article 83.5 of the GDPR, with a fine of 70,000 euros.

TENTH: Once the proposal for resolution was notified, the respondent submitted a written statement of allegations reaffirming those made regarding the Initiation Agreement, requesting that the present procedure be suspended and that the claimant be required to provide information on the status of the complaint filed, as well as the content of the criminal procedure that may be underway, in order to determine if there is criminal prejudiciality, propose a declaration of non-existence of responsibility on the part of the respondent for the alleged infringement attributed to it in the present procedure, and that

a resolution be issued in due course ordering the archiving of the present sanctioning file as referenced, and subsidiarily, reduce the initially proposed sanction under Article 83 of the GDPR. From the actions taken in the present procedure and the documentation in the file, the following has been established:

PROVEN FACTS

FIRST.- The claimant filed a complaint with this Agency on June 13, 2022, stating that a third party on July 29, 2020, requested "TME" to change the ownership of their mobile line, which was carried out on August 5, 2020, the date on which they were left without service on their mobile phone.

C/ Jorge Juan, 6

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28001 – Madrid

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7/20

The impersonator, using the information contained in the mobile phone, accesses the online banking of the claimant (with their keys and passwords) making numerous fraudulent charges and transactions on their bank account.

SECOND.- In the recording of the call regarding the change of ownership, a third party states that they have the consent of the owner to make the change of line to their name and provides the name, surname, and ID number of both (with the last two letters of the ID number, in both cases, being incorrect).

THIRD.- "TME" acknowledges in its response, dated April 3, 2023, to the request for information from this Agency dated March 17, 2023: <>.

FOURTH.- It has not been proven that the call was made to verify the effective will of the claimant, the owner of the line, for the change of ownership.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Data Protection Agency is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Data Protection Agency shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, to the extent that they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Criminal Prejudice

Prior to proceeding, it is necessary to resolve the allegation presented by "TME," based on the existence of criminal prejudice.

It is stated regarding these facts that they are currently subject to a criminal investigation. It is considered that, therefore, in application of the principle of criminal prejudice established in Article 10 of the Organic Law of the Judiciary, the matter should not be resolved administratively until it is resolved through the criminal route. This, it is stated, given that the proven facts will bind the Agency regarding a possible sanctioning procedure, in accordance with the provisions.

C/ Jorge Juan, 6

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28001 – Madrid

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8/20

in Article 77.4 of Law 39/2015.

It should be noted that Article 77.4 of the LPACAP states that: "In sanctioning procedures, the facts declared proven by final criminal judicial resolutions will bind the Public Administrations regarding the

sanctioning procedures they are processing.” However, it must be indicated that there is no triple identity necessary to apply Article 77 of the LPACAP (of subject, fact, and legal basis) between the administrative infraction being assessed and the possible criminal infraction or infractions that could arise from the alleged Preliminary Proceedings carried out by a judicial body. This is because it is obvious that the infringing subject would not be the same – regarding the infractions of the LOPDGDD, the responsible party is Telefónica, while the criminally responsible party for a potential crime of identity theft or fraud would be the third party who impersonated the claimant. The legal basis would also not be the same: while the legal good protected by the LOPDGDD is the fundamental right to the protection of personal data, the legal good protected in the criminal offenses whose commission would be investigated, if applicable, by the Investigating Court would be civil status, property, etc.

In this sense, the Judgment of the National Court of 27/04/2012 (rec. 78/2010) is very enlightening, in which the Court states in its second Legal Basis the following in response to the appellant's claim that the AEPD has violated Article 7 of R.D. 1398/1993 (a regulation that was in force until the entry into force of the LPACAP): “In this regard, Article 7 of Royal Decree 1398/1993, of August 4, on the procedure for exercising the sanctioning power, only provides for the suspension of the administrative procedure when the effective and real existence of a criminal procedure is verified, if it is deemed that there is identity of subject, fact, and legal basis between the administrative infraction and the criminal infraction that may correspond.

However, for the concurrence of a criminal prejudiciality, it is required that it directly conditions the decision to be made or that it is essential for resolution, conditions that do not occur in the case examined, in which there is a separation between the facts for which sanction is imposed in the resolution now appealed and those that the appellant invokes as possible criminal offenses. Thus, even if criminal proceedings had been initiated in this case, and for the facts now in dispute, against the distributing company, the truth is that both the sanctioning conduct and the legal good protected are different in each avenue (contentious-administrative and criminal). In the criminal sphere, the legal good protected is a possible documentary falsification and fraud, while in the administrative sphere, it is the right of disposition of one's personal data by its owner, which is why such an objection from the defendant must be rejected.”

In consideration of the above, the issue raised by Telefónica cannot prosper and must be rejected.

On the other hand, “TME” cites in its defense a series of resolutions issued by the AEPD, stating that in EXP20210446 the case was archived as it understood that there was already a sanctioning file in progress for the same facts and that “Telefónica has already been sanctioned for the same facts that are now being developed.”

C/ Jorge Juan, 6

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28001 – Madrid

sedeagpd.gob.es

9/20

In this procedure, the Agency imposed the sanction through the procedure referenced PS/00021/2021, thereby violating the principle of non bis in idem.

In this regard, it is important to highlight that these procedures aimed to analyze the processes followed to manage SIM change requests by Telefónica, identifying any vulnerabilities that may exist in the implemented operational procedures, to detect the causes for which these cases may be occurring, as well as to find points of non-compliance, improvement, or adjustment, to determine responsibilities, reduce risks, and enhance the security in the handling of personal data of the affected individuals.

In the sanctioning procedure PS/00021/2021, processed against the respondent, the violation of Article 5.1(f) was attributed, without attributing fraud or the processing of data without legitimacy, but rather a lack of guarantees regarding security measures that results in the transfer of data to a third party.

III

Obligation Breached

Before proceeding, it is necessary to point out that Article 4.1 of the GDPR defines:

“personal data’ as ‘any information relating to an identified or identifiable natural person (“data subject”); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier, such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person;”

The respondent is charged with committing an infringement for violating Article 6 of the GDPR, “Lawfulness of processing,” which states in its paragraph 1 the circumstances under which the processing of third-party data is considered lawful:

“1. Processing shall be lawful only if at least one of the following applies:

- a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the controller is subject;
- d) processing is necessary to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject.”

C/ Jorge Juan, 6

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28001 – Madrid

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10/20

interested parties who require the protection of personal data, particularly when the interested party is a child. The provisions in paragraph f) of the first paragraph shall not apply to processing carried out by public authorities in the exercise of their functions.”

In turn, Article 6.1 of the LOPDGDD states, regarding the processing of personal data based on the consent of the affected party that: “1. In accordance with the provisions of Article 4.11 of Regulation (EU) 2016/679, the consent of the affected party is understood to be any manifestation of free, specific, informed, and unequivocal will by which the affected party accepts, either by means of a declaration or a clear affirmative action, the processing of personal data concerning them (...).”

In the present case, it is established that a third party on July 29, 2020, requested via a phone call to “TME” the change of the holder of the claimant's mobile line, without the consent of the holder of the line.

Well, “TME” acknowledges in its response dated March 17, 2023, to the information request from this Agency: <>.

In short, the duplicate was obtained by previously changing the ownership of the line. The respondent itself acknowledges that there was an error in the processing of the duplicate, as its procedure consists of contacting the previous holder for confirmation of their consent for changes of ownership, and in this case, this was not done.

Consequently, in the analyzed case, the diligence employed by the respondent is called into question, given that the established procedure was not followed, as, had it been followed, the request should have been denied.

In light of the above, “TME” fails to demonstrate that this procedure was followed and consequently there was unlawful processing of the personal data of the claimant, thereby violating Article 6 of the GDPR.

Regarding the responsibility of “TME,” it should be noted that, in general, Telefónica processes its customers' data under the provisions of Article 6.1 b) of the GDPR, as it is considered necessary for the execution of a contract in which the interested party is a party or for the application at their request of pre-contractual measures. In other cases, it bases the legality of the processing on the grounds provided in Articles 6.1.a), c), e), and f) of the GDPR.

On the other hand, to complete the fraud, it is necessary for a third party to “impersonate the identity” of the data holder to receive the duplicate of the SIM card. This, in principle, leads to processing outside the principle of legality since a third party is processing data, as they have access to it, without any legal basis, in addition to the violation of other principles such as confidentiality.

For this reason, this is a process where the diligence provided by the operators is fundamental to prevent this type of fraud and violations of the GDPR. Diligence that translates into the establishment of adequate measures to guarantee

C/ Jorge Juan, 6
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28001 – Madrid
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11/20

that appropriate security measures are implemented and maintained to effectively protect the confidentiality, integrity, and availability of all personal data for which they are responsible, or that they have been entrusted with by another controller.

The Constitutional Court stated in its Judgment 94/1998, of May 4, that we are dealing with a fundamental right to data protection, which guarantees individuals control over their data, any personal data, and over its use and destination, to prevent the illicit trafficking of such data or harm to the dignity and rights of the affected individuals; thus, the right to data protection is configured as a citizen's ability to oppose the use of certain personal data for purposes other than those that justified its collection.

In turn, in Judgment 292/2000, of November 30, it is considered an autonomous and independent right that consists of a power of disposition and control over personal data that empowers the individual to decide which of those data to provide to a third party, whether the State or a private individual, or which data this third party may collect, and that also allows the individual to know who holds that personal data and for what purpose, being able to oppose such possession or use.

Regarding the conduct of "TME," it is considered to fall under the title of fault. As a large-scale holder of personal data, therefore, accustomed or specifically dedicated to the management of personal data of clients, it must be especially diligent and careful in its handling. That is to say, from the perspective of culpability, we are faced with a remediable error, since with the application of appropriate technical and organizational measures, these identity thefts could have been avoided.

It is Recital 74 of the GDPR that states: The responsibility of the data controller must be established for any processing of personal data carried out by them or on their behalf. In particular, the controller must be obliged to apply appropriate and effective measures and must be able to demonstrate compliance of the processing activities with this Regulation, including the effectiveness of the measures. Such measures must take into account the nature, scope, context, and purposes of the processing as well as the risk to the rights and freedoms of natural persons. Likewise, Recital 79 states: The protection of the rights and freedoms of data subjects, as well as the responsibility of controllers and processors, also with respect to the supervision by the supervisory authorities and the measures adopted by them, requires a clear attribution of responsibilities under this Regulation, including cases where a controller determines the purposes and means of processing jointly with other controllers, or where processing is carried out on behalf of a controller.

In accordance with the available evidence, it is estimated that the conduct of the respondent violates Article 6.1 of the GDPR, constituting an infringement as defined in Article 83.5.a) of the aforementioned Regulation 2016/679.

In this regard, Recital 40 of the GDPR states:

C/ Jorge Juan, 6
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28001 – Madrid
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12/20

“(40) In order for the processing to be lawful, personal data must be processed with the consent of the data subject or on some other legitimate basis established in accordance with the law, whether in this

Regulation or under another law of the Union or of the Member States to which this Regulation refers, including the necessity of complying with a legal obligation applicable to the data controller or the necessity of performing a contract in which the data subject is a party or for the purpose of taking steps at the request of the data subject prior to entering into a contract.”

IV

Classification of the infringement of Article 6 of the GDPR

The infringement of Article 6 for which the respondent is held responsible in this resolution is classified in Article 83 of the GDPR under the heading “General conditions for the imposition of administrative fines.”

“5. Infringements of the following provisions shall be subject to administrative fines of up to 20,000,000 EUR or, in the case of an undertaking, an amount equivalent to a maximum of 4% of the total annual global turnover of the preceding financial year, opting for the higher amount:

a) The basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9.”

The LOPDGD, for the purposes of the limitation period for the infringement, qualifies in its Article 72.1 as a very serious infringement, with a limitation period of three years in this case, “b) The processing of personal data without any of the conditions for lawful processing established in Article 6 of Regulation (EU) 2016/679.”

V

Sanction

The determination of the sanction to be imposed in this case requires observing the provisions of Articles 83.1 and 2 of the GDPR, which respectively state the following:

“1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation indicated in paragraphs 4, 9, and 6 are, in each individual case, effective, proportionate, and dissuasive.”

“2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure to those provided for in Article 58, paragraph 2, letters a) to h) and j). In deciding on the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question, as well as the number of data subjects affected and the level of damage and detriment suffered;
- b) the intentionality or negligence in the infringement;
- c) any measures taken by the controller or processor to mitigate the damage and detriment suffered by the data subjects;
- d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented in accordance with Articles 25 and 32;
- e) any previous infringement committed by the controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or processor notified the infringement and, if so, to what extent;
- i) when the measures indicated in Article 58, paragraph 2, have been previously ordered against the controller or processor in relation to the same matter, the compliance with such measures;
- j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42, and
- k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.”

Within this section, the LOPDGD provides in its Article 76, titled “Sanctions and corrective measures”:

“1. The sanctions provided for in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679 shall

be applied taking into account the criteria for graduation established in paragraph 2 of the aforementioned article.

2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The continued nature of the infringement.
- b) The connection of the infringer's activity with the performance of personal data processing.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the conduct of the affected party may have induced the commission of the infringement.”

14/20

e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.

f) The impact on the rights of minors.

g) To have, when not mandatory, a data protection officer.

h) The voluntary submission by the responsible party or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.

3. It will be possible, additionally or alternatively, to adopt, when appropriate, the remaining corrective measures referred to in Article 83.2 of Regulation (EU) 2016/679.”

“TME” has requested in its written allegations, in a subsidiary manner, that this Agency agrees to archive the procedure due to the absence of culpability.

The principle of culpability governs in sanctioning Administrative Law (Article 28 of Law 40/2015, on the Legal Regime of the Public Sector, LRJSP), so the subjective or culpability element is an indispensable condition for the emergence of sanctioning responsibility. Article 28 of the LRJSP, “Responsibility,” states:

“1. Only individuals and legal entities may be sanctioned for acts constituting an administrative infringement, as well as, when a Law recognizes their capacity to act, the groups of affected parties, unions, and entities without legal personality and independent or autonomous assets, that are responsible for them by way of intent or negligence.”

In light of this provision, sanctioning responsibility can be demanded on the basis of intent or negligence, with mere non-observance of the duty of care being sufficient in the latter case.

The Constitutional Court, among others, in its STC 76/1999, has declared that administrative sanctions share the same nature as criminal ones, being one of the manifestations of the State's *ius puniendi*, and that, as a requirement derived from the principles of legal certainty and criminal legality enshrined in Articles 9.3 and 25.1 of the CE, their existence is essential for imposing them.

Regarding the culpability of legal entities, it is appropriate to cite STC 246/1991, December 19, 1991 (F.J. 2), according to which, concerning legal entities, the subjective element of culpability must necessarily be applied differently than it is for individuals and adds that “This different construction of the attribution of authorship of the infringement to the legal entity arises from the very nature of the legal fiction to which these subjects respond. They lack the volitional element in the strict sense, but not the capacity to infringe the rules to which they are subject. The capacity for infringement and, therefore, direct reproachability derives from the legal good protected by the norm that is infringed and the necessity for that protection to be genuinely effective [...]”.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

15/20

The respondent has invoked various arguments to justify the absence of culpability in their conduct.

The decision to archive a sanctioning file may be based on the absence of the element of culpability when the responsible party for the unlawful conduct has acted with all the diligence that the circumstances of the case require.

In compliance with the principle of culpability, the AEPD has agreed on numerous occasions to archive sanctioning procedures in which the element of culpability of the infringing party was not present.

These are cases in which, despite the existence of unlawful behavior, it has been demonstrated that the responsible party acted with all the diligence that was required, and therefore no fault was perceived in their conduct. This has been the criterion maintained by the Administrative Litigation Chamber, section 1, of the National Court. The following judgments can be cited as particularly enlightening:

- SAN of April 26, 2002 (Rec. 895/2009) states:

"Indeed, it cannot be asserted that there is culpability based on the outcome, and this is what the Agency does by claiming that since the security measures did not prevent the outcome, there is culpability. Far from this, what should be done, and what is lacking in the Resolution, is to analyze the sufficiency of the measures from the parameters of average diligence required in the data traffic market. For if one acts with full diligence, scrupulously fulfilling the duties derived from diligent action, it cannot be asserted or presumed that there is any culpability."

- SAN of April 29, 2010, Legal Basis six, which, regarding fraudulent hiring, indicates that "The issue is not to determine whether the appellant processed the personal data of the complainant without their consent, but whether they employed reasonable diligence when trying to identify the person with whom they entered into the contract."

At this point, it is worth recalling once again what the STC 246/1991 has stated regarding the culpability of legal entities: that they do not lack the "capacity to infringe the norms to which they are subject." "Capacity for infringement [...] which derives from the legal good protected by the norm that is infringed and the necessity for that protection to be truly effective [...]"

In connection with the above, reference must be made to Article 5.2 of the GDPR (principle of proactive responsibility), according to which the data controller shall be responsible for compliance with the provisions of paragraph 1—concerning the principle of lawfulness in relation to Article 6.1 of the GDPR—and capable of demonstrating such compliance. The principle of proactivity transfers to the data controller the obligation not only to comply with the regulations but also to be able to demonstrate such compliance.

The Opinion 3/2010 of the Article 29 Working Party (GT29) -WP 173- issued during the validity of the repealed Directive 95/46/EC, but whose reflections are applicable today, states that the "essence" of proactive responsibility is the obligation of the data controller to apply measures that, in
16/20

Under normal circumstances, ensure that in the context of processing operations, the standards regarding data protection are met and that documents are available to demonstrate to the data subjects and the supervisory authorities what measures have been adopted to achieve compliance with data protection standards.

Article 5.2 is developed in Article 24 of the GDPR, which obliges the controller to adopt appropriate technical and organizational measures "to ensure and be able to demonstrate" that the processing is in accordance with the GDPR. The provision states:

"Responsibility of the data controller"

"1. Taking into account the nature, scope, context, and purposes of the processing, as well as the risks of varying likelihood and severity to the rights and freedoms of natural persons, the data controller shall implement appropriate technical and organizational measures to ensure and be able to demonstrate that the processing is in compliance with this Regulation. Such measures shall be reviewed and updated as necessary.

2. Where appropriate in relation to the processing activities, the measures referred to in paragraph 1 shall include the implementation, by the data controller, of appropriate data protection policies.

3. Adherence to approved codes of conduct pursuant to Article 40 or to an approved certification mechanism pursuant to Article 42 may be used as elements to demonstrate compliance with the obligations of the data controller."

Article 25 of the GDPR, "Data protection by design and by default," establishes:

"1. Taking into account the state of the art, the costs of implementation, and the nature, scope, context, and purposes of the processing, as well as the risks of varying likelihood and severity that the processing poses to the rights and freedoms of natural persons, the data controller shall implement, both at the time of determining the means of processing and at the time of the processing itself,

appropriate technical and organizational measures, such as pseudonymization, designed to effectively apply the principles of data protection, such as data minimization, and to integrate the necessary safeguards into the processing, in order to meet the requirements of this Regulation and protect the rights of data subjects.

2. [...]".

The ruling SAN of October 17, 2007 (Rec. 63/2006) is fully applicable to this case, which, after referring to the fact that entities whose activities involve continuous processing of data from clients and third parties must observe an adequate level of diligence, states: "[...] the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the offender does not behave with the required diligence. In assessing the degree of diligence, the professionalism or lack thereof of the subject must be particularly weighed, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it is necessary to insist on the rigor and exquisite care to comply with the legal provisions in this regard."

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

17/20

As noted by the SAN of September 19, 2023 (Rec. 403/2021), "the insurance policy was contracted with a third party without sufficient control or supervision as it was unable to detect that the person expressing their intention to contract was not who they claimed to be. Had the necessary precautions been taken to ensure the identity of the contracting party (it would have been sufficient to address the incorrect answers to the identification and verification questions of the client)."

In accordance with the transcribed provisions, for the purpose of determining the amount of the fine to be imposed on the respondent, as responsible for an infringement classified under article 83.5.a) of the GDPR, the following factors are deemed concurrent:

- "The connection of the infringer's activity with the processing of personal data," a circumstance provided for in article 76.2.b) of the LOPDGD in connection with article 83.2.k) of the GDPR.

The respondent has opposed in its allegations the application of this aggravating factor.

Even in that case, the respondent's arguments must be rejected:

A significant circumstance in the examined case is that the duplicate SIM card was obtained by previously changing the ownership of the line.

The business activity of the respondent necessarily involves personal data. This characteristic of its business activity impacts, reinforcing it, the diligence that must be exercised in compliance with the principles governing the processing of personal data and the quality and effectiveness of the technical and organizational measures that must be implemented to ensure respect for the fundamental right.

As a mitigating circumstance, the one provided for in article 83.2.c) of the GDPR is taken into consideration: "any measures taken by the controller or processor to mitigate the damages suffered by the data subjects."

It immediately proceeded to regularize the situation, canceling the claimed invoices and halting recovery actions.

None of the mitigating factors invoked by the respondent are admitted:

In fulfilling its legal obligations - as far as the principle of lawfulness is concerned - the respondent must act with the diligence that the circumstances of the case require and is obliged to adopt the technical and organizational measures that allow it to comply with and be able to demonstrate compliance with the principles of data protection.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

18/20

Regarding the degree of diligence that the data controller is required to exercise, it is pertinent to cite

the ruling of the National Court, Administrative Litigation Chamber, of October 17, 2007 (Rec. 63/2006), which states that "...the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the offender does not behave with the required diligence. In assessing the degree of diligence, special consideration must be given to the professionalism or lack thereof of the individual, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it is necessary to emphasize the rigor and exquisite care to comply with the legal provisions in this regard." Regarding the alleged absence of intent or negligence, we refer to the considerations made about the concurrence of the element of culpability, specified in a serious lack of diligence.

On the non-existence of benefits obtained (Article 76.2.c) of the LOPDGDD, in connection with Article 83.2.k) of the LOPDGDD), we emphasize that this circumstance can only operate as an aggravating factor and not as a mitigating factor.

Article 83.2.k) of the GDPR refers to "any other aggravating or mitigating factor applicable to the circumstances of the case, such as financial benefits obtained or losses avoided, directly or indirectly, through the infringement." And Article 76.2.c) of the LOPDGDD states that "2. In accordance with the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account: [...] c) The benefits obtained as a result of the commission of the infringement." Both provisions mention as a factor that can be considered in the assessment of the sanction the "benefits" obtained, but not the "absence" of these, which is what TME claims.

Furthermore, according to Article 83.1 of the GDPR, the imposition of monetary fines is governed by the following principles: they must be individualized for each particular case, be effective, proportionate, and dissuasive. Allowing the absence of benefits to operate as a mitigating factor is contrary to the spirit of Article 83.1 of the GDPR and to the principles governing the determination of the amount of the monetary sanction. If, as a result of the commission of a GDPR infringement, the fact that no benefits existed is qualified as a mitigating factor, with the consequent reduction of the amount of the sanction, the dissuasive purpose of the sanction is partially nullified.

The Administrative Litigation Chamber of the National Court has warned that the fact that in a specific case not all elements that constitute a modifying circumstance of liability, which by its nature is aggravating, are present, cannot lead to the conclusion that such circumstance is applicable as a mitigating factor. The pronouncement made by the National Court in its ruling of May 5, 2021 (Rec. 1437/2020) -even though that resolution deals with the circumstance of section e) of Article 83.2. of the GDPR, the commission of previous infringements- is extrapolable to the issue raised, the claim of the respondent that the "absence" of benefits be accepted as a mitigating factor, given that both the GDPR and the LOPDGDD refer only to "the benefits obtained":

It is appropriate to assess the sanction to be imposed on the respondent and set it at the amount of €70,000 for the infringement of Article 83.5 a) GDPR.

C/ Jorge Juan, 6

www.aepd.es

28001 – Madrid

sedeagpd.gob.es

19/20

Therefore, in accordance with the applicable legislation and having assessed the criteria for the graduation of the sanctions whose existence has been established, the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO IMPOSE on TELEFÓNICA MÓVILES ESPAÑA, S.A.U., with NIF A78923125, for a violation of Article 6.1 of the GDPR, classified under Article 83.5 of the GDPR, a fine of 70,000 euros (seventy thousand euros).

SECOND: TO NOTIFY this resolution to TELEFÓNICA MÓVILES ESPAÑA, S.A.U.

THIRD: To warn the sanctioned party that they must pay the imposed sanction once this resolution becomes enforceable, in accordance with the provisions of Article 98.1.b) of the LPACAP, within the voluntary payment period established in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by making the payment, indicating the NIF of the sanctioned party and the procedure number that

appears in the heading of this document, to the restricted account No. IBAN: ES00 0000 0000 0000 0000 0000 (BIC/SWIFT Code: XXXXXXXXXXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A.

Otherwise, collection will proceed in the executive period.

Upon receipt of the notification and once enforceable, if the date of enforceability falls between the 1st and the 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second following month or the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file an administrative contentious appeal before the Administrative Litigation Chamber of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Administrative Litigation Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the firm resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file an administrative contentious appeal. If this is the case, the interested party must formally communicate this fact by means of a written document addressed to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency [<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of the aforementioned Law 39/2015, of October 1. They must also provide the Agency with documentation that proves the effective filing of the administrative contentious appeal. If the Agency does not have knowledge of the filing of the administrative contentious appeal within two months from the day following the notification of this resolution, the provisional suspension would be considered terminated.

Mar España Martí

Director of the Spanish Agency for Data Protection

C/ Jorge Juan, 6

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28001 – Madrid

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20/20